NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
SPECIAL BENCH (COURT- II)

IA. 144/ND/2022
IN
C.A.(CAA)-84/ND/2021

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

ERICSSON INDIA PRIVATE LIMITED

... Applicant No.1/Transferor Company

WITH

ERICSSON INDIA GLOBAL SERVICES PRIVATE LIMITED

...Applicant No. 2/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on 12.08.2022

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Applicant : Adv. Hemant Sethi, Adv. Varun Lamba, Adv. Parag Maini, Adv. Raghav Chadha

ORDER

PER SH. L.N. GUPTA, MEMBER (T)

M/s Ericsson India Private Limited (hereinafter referred to as **"Transferor Company"**) and M/s Ericsson India Global Services Private Limited (hereinafter referred to as **"Transferee Company"**) have preferred the present I.A. No. 144 of 2022 under Rule 11 of NCLT Rules 2016 seeking the following prayers :

> *"a. Allow the application and Dispense with the requirement of convening the separate meetings of shareholders, secured creditors and unsecured creditors of the Applicants in view of the Appellate Tribunal's order/ judgment dated January 18, 2022 in Company Appeal (AT) No. 148 of2021;*
>
> *b. Direct the Applicants to serve notices pursuant to Section 230(5) of the Act along with all the documents in such form as may be prescribed to the applicable statutory authorities/ sectoral regulators as stated above in paragraph 8;*
>
> *c. Approve the substitution/ modification of Clause 1.4 of Part A of the Scheme and Clause 11.1(viii) of Part B of the Scheme and take on record the modified Scheme annexed herewith as **Annexure - 5;***
>
> *d. Take on record the additional documents as stated above and annexed herewith as **Annexure 6 to Annexure 11;** and*
>
> *e. Pass any other such order as this Hon'ble Tribunal may deem fit and proper in the facts of the matter...."*

2. Both the Transferor and Transferee company herein are together referred to as the "Applicant Companies" hereinafter.

3. To put succinctly, facts of the case are that the Applicant Companies had jointly filed the First Motion application bearing no C.A.(CAA)84/ND/2021under Section 230-232 before this Tribunal, which was dismissed vide order dated 23.09.2021. The Applicant Companies thereafter challenged the order dated 23.09.2021 before the Hon'ble NCLAT in the **Company Appeal (AT) No. 148 of 2021** in the matter of **Ericsson India Private Limited and Ericsson India Global Services Private Limited**.

4. It is submitted by the Applicant Companies that the Hon'ble NCLAT vide its judgement dated 18.01.2022, has set aside the order dated 23.09.2021 of this Tribunal, by directing the following :

> *"6. This Tribunal in a catena of Judgements has dispensed with the Meeting of the Shareholders wherein the case is of a merger of a Wholly Owned Subsidiary and Parent Company, wherein, the net worth of both Companies is positive and 'Unsecured Creditors' are paid off in the ordinary course of business and their liability is not affected as it is neither reduced nor extinguished. Relying on the Judgements of this Tribunal in the matter of* ***'Ambuja Cements Limited' in Company Appeal(AT) No. 19 of 2021,'Mohit Agro Commodities Processing Pvt Ltd. & Ors.' in Company Appeal (AT) No. 59 of 2021 and 'DLF Phase IV,***

***Commercial Developers Limited and Ors.' in Company Appeal (AT) No. 180 of 2019**, we are of the considered view that as the merger is of a Wholly Owned Subsidiary Company into its holding Company, no shares would be allotted as consideration pursuant to the merger; the proposed Scheme will not result in any dilution in the Shareholding of the Shareholders of the 'Transferee Company', the net worth of the 'Transferee Company' is positive, we are of the considered view that the ratio of this Tribunal in the aforenoted Judgements can be squarely made applicable to the facts of this case. We also hold that the material disclosed in the Affidavit is in compliance of Section 230(2)(a) of the Act read with Rule 6(3)(viii) of the Rules.*

7. Hence, this Appeal is allowed and the Impugned Order dated 23.09.2021 is set aside."

5. In the backdrop of the aforesaid judgement, the Applicant Companies have filed the present application and prayed to seek dispensation of the meetings of shareholders and creditors.

6. We have heard the Ld. Counsel for the Applicant Companies and perused the documents placed on record and the Judgement of Hon'ble NCLAT dated 18.01.2022.

7. Since the order dated 23.09.2021 has been set aside by the Hon'ble NCLAT vide Judgement dated 18.01.2022 and in terms of the findings/observations recorded in Para 6 of the Judgement (Supra), **we**

hereby dispense with the meetings of Shareholders and Creditors of the Applicant Companies.

8. The Applicant Companies have also prayed for certain modification in the Scheme. The copy of the modified Scheme is placed on record from Page 128-146 of the Application. **The modified Scheme is taken on record.**

9. The Applicant Companies have also prayed for serving notices in terms of Section 230(5) of Companies Act, 2013. To consider this prayer, it is necessary to refer to Section 230 of the Companies Act, 2013, the relevant extracts of which are reproduced below :

> ***"230. Power to compromise or make arrangements with creditors and members.–***
>
> *(1) Where a compromise or arrangement is proposed-*
>
> *(a) between a company and its creditors or any class of them; or any class of them; or*
>
> *(b) between a company and its members or any class of them, the Tribunal may, on the application of the company or of any creditor or member of the company, or in the case of a company which is being wound up, of the liquidator, appointed under this Act or under the Insolvency and bankruptcy Code, 2016, as the case may be, order a meeting of the creditors in class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.*

Explanation.- *For the purposes of this sub section, arrangement includes a reorganisation of the company's share capital by the consolidation of shares of different classes of by the division of shares into shares of different classes or by both of those methods*

(2) The company or any other person, by whom an application is made under sub-section (1), shall disclose to the Tribunal by affidavit-

(a) all material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company and the pendency of any investigation or proceedings against the company;

(b) reduction of share capital of the company, if any, included in the compromise or arrangement;

(c) any scheme of corporate debt restructuring consented to by not less than seventy-five per cent. of the secured creditors in value, including—

(i) a creditor's responsibility statement in the prescribed form;

(ii) safeguards for the protection of other secured and unsecured creditors;

(iii) report by the auditor that the fund requirements of the company after the corporate debt restructuring as approved shall conform to the liquidity test based upon the estimates provided to them by the Board;

(iv) where the company proposes to adopt the corporate debt restructuring guidelines specified by the Reserve Bank of India, a statement to that effect; and

(v) a valuation report in respect of the shares and the property and all assets, tangible and intangible, movable and immovable, of the company by a registered valuer.

(3) Where a meeting is proposed to be called in pursuance of an order of the Tribunal under subsection (1), a notice of such meeting shall be sent to all the creditors or class of creditors and to all the members or class of members and the debenture-holders of the company, individually at the address registered with the company which shall be accompanied by a statement disclosing the details of the compromise or arrangement, a copy of the valuation report, if any, and explaining their effect on creditors, key managerial personnel, promoters and non-promoter members, and the debenture-holders and the effect of the compromise or arrangement on any material interests of the directors of the company or the debenture trustees, and such other matters as may be prescribed:

Provided that such notice and other documents shall also be placed on the website of the company, if any, and in case of a listed company, these documents shall be sent to the Securities and Exchange Board and stock exchange where the securities of the companies are listed, for placing on their website and shall also be published in newspapers in such manner as may be prescribed:

Provided further that where the notice for the meeting is also issued by way of an advertisement, it shall indicate the time within which copies of the compromise or arrangement shall be made available to the concerned persons free of charge from the registered office of the company.

(4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice:

Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement.

(5) A notice under sub-section (3) along with all the documents in such form as may be prescribed shall also be sent to the Central Government, the income-tax authorities, the Reserve Bank of India, the Securities and Exchange Board, the Registrar, the respective stock exchanges, the Official Liquidator, the Competition Commission of India established under sub-section (1) of section 7 of the Competition Act, 142 2002 (12 of 2003), if necessary, and such other sectoral regulators or authorities which are likely to be affected by the compromise or arrangement and shall require that representations, if any, to be made by them shall be made within a period of thirty days from the date of receipt of such notice, failing which, it shall be presumed that they have no representations to make on the proposals."

10. From perusal of the Section 230(3) of Companies Act 2013, it is observed that the notice is required to be sent only if the meeting is directed to be convened under Section 230(1) of Companies Act 2013. Since, in the instant case the meetings are dispensed with and no meetings are being convened under the provisions of Section 230(1) of Companies Act 2013, therefore the question of serving notices in terms of Section 230(3) and 230(5) do not arise.

11. Notices are required to be sent to the Sector Regulators and objectors in terms of Rule 16(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 at the time of filing Second Motion application, while intimating the Noticees about the next date of hearing of the Application. In view of the above, we reject the prayer of the Applicant Companies so far as seeking direction of serving notices at this stage is concerned.

12. **The Application is disposed of in terms of the aforesaid directions.**

-Sd-

(L. N. GUPTA)
MEMBER (T)

-Sd-

(BACHU VENKAT BALARAM DAS)
MEMBER (J)